

Employer Obligations Under the Kenya Employment Act, 2007

Comply. Protect. Lead with integrity.

Prepared By	Jurisdiction	Legal Reference	Review Date
Milkah Muchunu	Kenya	Employment Act, Cap 226	Annually

DISCLAIMER: This document is a simplified reference guide for educational and HR purposes only. It does not constitute legal advice. For specific legal matters, always consult a qualified legal professional or refer directly to the Kenya Employment Act, 2007 (Cap 226).

1. OVERVIEW

The Kenya Employment Act, 2007 (Cap 226) places significant legal obligations on employers operating in Kenya. Failure to comply with these obligations exposes employers to criminal prosecution, civil liability and reputational damage. This guide provides a comprehensive reference for HR professionals, managers and business owners on their legal duties as employers under the Act.

The Act applies to all employers in Kenya regardless of size, sector, or nature of business, with the exception of the Kenya Defence Forces and the National Police Service. Employers include individuals, companies, partnerships, government bodies, NGOs and any other entity that engages persons to perform work in exchange for wages or salary.

◆ Who is an Employer Under the Act?

- Any person, company, or organization that employs one or more persons for wages or salary
- Labour contractors and outsourcing firms that supply workers to other organizations
- Parent companies that exercise control over a subsidiary's employment practices
- Successor employers who take over a business and inherit existing employment contracts

2. OBLIGATION TO PROVIDE A CONTRACT OF EMPLOYMENT

Every employer is legally required to provide employees with a written contract of employment. This is one of the most fundamental obligations under the Act.

◆ 2.1 Written Contract Requirements

- A written contract must be provided to every employee engaged for 3 months or more
- The contract must be provided within 2 months of the employee commencing work
- The contract must be explained to the employee in a language they understand
- The employee must receive a signed copy of the contract
- All changes to the contract must be agreed upon in writing by both parties

◆ 2.2 Mandatory Contract Contents

Contract Element	Requirement
Parties	Full legal names and addresses of both the employer and the employee
Commencement Date	The exact date the employment begins
Job Title & Description	Clear description of the role, duties, and responsibilities
Place of Work	Primary place of work and whether remote or multi-location work applies
Working Hours	Normal daily and weekly working hours, break times, and shift arrangements
Remuneration	Gross salary, payment frequency, and method of payment
Leave Entitlements	Annual, sick, maternity, and paternity leave provisions
Notice Period	Required notice period for termination by either party
Probationary Period	Duration and conditions of probation if applicable
Pension / Benefits	Details of any pension, provident fund, or other employee benefits

PENALTY: An employer who fails to provide a written contract within the required period commits an offence and is liable to a fine upon conviction.

3. OBLIGATION TO PAY FAIR WAGES

Employers have a comprehensive set of obligations regarding the payment of wages to ensure all employees are fairly compensated.

◆ 3.1 Minimum Wage Compliance

- Employers must pay all employees at or above the statutory minimum wage set by the Government of Kenya
- Minimum wages are set through the Regulation of Wages (General) Order and vary by sector, location, and skill level
- Employers must monitor and implement minimum wage increases promptly when gazetted
- Paying below the minimum wage is a criminal offence regardless of what the contract says

◆ 3.2 Equal Pay Obligations

- Employers must pay men and women equally for work of equal value
- Pay scales and salary bands must be applied consistently regardless of gender
- Employers must be able to objectively justify any pay differences between employees in similar roles
- Pay secrecy clauses that prevent employees from discussing their salaries are unenforceable

◆ 3.3 Payslip Requirements

- Every employee must receive a written payslip for each pay period
- The payslip must clearly show: gross pay, each deduction itemized, and net pay
- Statutory deductions (PAYE, NSSF, NHIF, Housing Levy) must be correctly calculated and remitted
- Payslips must be issued on or before the agreed payday

◆ 3.4 Overtime Obligations

Day	Required Rate	Employer Obligation
Monday to Saturday	1.5x normal hourly rate	Must pay for all hours worked beyond normal hours
Sunday	2x normal hourly rate	Cannot compel work without appropriate compensation
Public Holidays	2x normal hourly rate	Plus compensatory day off or additional pay

◆ 3.5 Prohibited Wage Practices

- Withholding wages as a form of punishment or leverage is illegal
- Making unauthorized deductions from wages — any deduction requires written employee consent
- Paying wages in non-monetary forms (goods, tokens) without employee consent
- Delaying payment of wages beyond the agreed payday
- Failing to pay all outstanding wages within 7 days of termination of employment

PENALTY: An employer who withholds, delays, or unlawfully deducts wages commits a criminal offence and may be ordered to pay the full amount owed plus interest and penalties by the Employment and Labour Relations Court.

4. OBLIGATION TO GRANT LEAVE

Employers must grant all statutory leave entitlements to qualifying employees. These are minimum standards — employers may offer more but never less.

Leave Type	Entitlement	Qualifying Period	Employer Obligation
Annual Leave	21 working days/year	12 months service	Must grant leave; cannot replace with cash except on termination
Sick Leave	7 days full + 7 days half pay	2 months service	Must accept valid medical certificates; cannot dismiss for illness during leave
Maternity Leave	3 months full pay	No qualifying period	Cannot dismiss, demote, or reduce benefits due to pregnancy or maternity leave
Paternity Leave	2 weeks full pay	No qualifying period	Must grant leave upon birth of employee's child
Public Holidays	All gazetted holidays	From day 1	Must pay double rate or give compensatory day off if employee works

◆ Key Leave Obligations

- Employers cannot force employees to forfeit their annual leave
- Annual leave cannot be replaced by a cash payment while employment continues
- Employers must maintain accurate records of all leave taken and leave balances
- Leave schedules must be communicated to employees in advance
- Employers cannot penalize employees for taking statutory leave

PENALTY: Refusing to grant maternity leave or dismissing a pregnant employee is a serious criminal offence under the Act. Employers found guilty face significant fines and civil liability.

5. OBLIGATION TO PROVIDE SAFE WORKING CONDITIONS

Every employer has a non-delegable duty to ensure the health, safety and welfare of all employees in the workplace. This obligation is reinforced by the Occupational Safety and Health Act, 2007.

◆ 5.1 Physical Safety Obligations

- Maintain a workplace that is safe and without risk to the health of employees
- Provide and maintain safe plant, machinery, and equipment
- Implement and enforce safe systems of work
- Ensure safe handling, storage, and transport of articles and substances
- Provide adequate welfare facilities — clean toilets, drinking water, rest areas

- Maintain the workplace in a clean and orderly condition

◆ 5.2 Training & Information Obligations

- Provide adequate health and safety training to all employees, especially new starters
- Ensure employees are informed of all known hazards in the workplace
- Provide clear safety instructions for all machinery and equipment
- Conduct and document regular safety drills and emergency procedures
- Train supervisors and managers on health and safety responsibilities

◆ 5.3 Protective Equipment

- Provide appropriate personal protective equipment (PPE) to all employees at no cost
- Ensure PPE is properly maintained and replaced when worn or damaged
- Train employees on the correct use and care of PPE
- PPE costs cannot be passed on to employees

◆ 5.4 Accident Reporting

- Report all workplace accidents, dangerous occurrences, and occupational diseases to the Directorate of Occupational Safety and Health Services (DOSHS)
- Maintain an accident register in the prescribed form
- Investigate all accidents to identify root causes and prevent recurrence
- Cooperate with DOSHS inspectors during workplace inspections

PENALTY: Failure to maintain a safe workplace or report workplace accidents is a criminal offence. Employers may also face civil liability for injuries suffered by employees due to unsafe working conditions.

6. OBLIGATION TO PREVENT DISCRIMINATION & HARASSMENT

Employers are legally required to maintain a workplace free from all forms of discrimination and harassment. This obligation extends to recruitment, employment, and termination.

◆ 6.1 Non-Discrimination in Recruitment

- Job advertisements must not specify or imply discriminatory preferences
- Selection criteria must be based on genuine occupational requirements
- Interview questions must not probe into protected characteristics
- Employers cannot refuse to hire a person solely on grounds of HIV/AIDS status, disability, pregnancy, or any other protected characteristic

◆ 6.2 Non-Discrimination in Employment

- Apply all employment policies and procedures consistently across all employees
- Ensure pay, promotion, training, and development opportunities are equally accessible
- Make reasonable accommodations for employees with disabilities
- Ensure performance management processes are objective and free from bias

◆ 6.3 Sexual Harassment Policy

The Act expressly requires employers to have measures in place to prevent sexual harassment. Employers must:

- Develop and implement a written sexual harassment policy
- Communicate the policy clearly to all employees
- Provide a confidential reporting mechanism for sexual harassment complaints
- Investigate all sexual harassment complaints promptly, fairly and confidentially
- Take appropriate disciplinary action against perpetrators
- Protect complainants from retaliation

PENALTY: An employer who fails to have a sexual harassment policy or fails to act on a complaint may be held vicariously liable for the acts of their employees. This can result in significant financial penalties.

7. OBLIGATION TO PROHIBIT FORCED & CHILD LABOUR

◆ 7.1 Prohibition of Forced Labour

- Employers must not use, procure, or support forced or compulsory labour in any form
- Employers cannot require employees to work under threat of any penalty
- Employers cannot hold employees' identity or travel documents as leverage
- Bonded labour arrangements are illegal and void under Kenyan law
- Employers must not engage labour contractors who use forced labour practices

◆ 7.2 Child Labour Prohibitions

Age Group	Employer Obligation
Under 13 years	ABSOLUTE PROHIBITION — No employment permitted under any circumstances
13 to 16 years	Only light work permitted that does not harm health, development, or interfere with schooling. Must have written parental consent.
Under 18 years	Cannot be employed in hazardous work, night work, or work that is morally harmful
16 years and above	Minimum age for general employment. Full Act protections apply.

PENALTY: Employment of a child in contravention of the Act is a criminal offence. Employers convicted of child labour offences face imprisonment and/or substantial fines.

8. OBLIGATION TO FOLLOW DUE PROCESS IN TERMINATION

One of the most significant areas of employer liability under the Act is termination of employment. Employers must follow strict due process to avoid claims of unfair dismissal.

◆ 8.1 Valid Grounds for Termination

- Misconduct — must be serious and supported by evidence
- Poor performance — must be documented with evidence of support given
- Incapacity — inability to perform duties due to ill health or injury
- Redundancy — genuine elimination of a position
- Expiry of a fixed-term contract
- Mutual agreement — must be genuinely voluntary

◆ 8.2 Mandatory Due Process Steps

#	Step	Requirement
01	Written Notice	Inform the employee in writing of the allegations or reasons for potential termination
02	Adequate Time	Give the employee reasonable time to prepare their response — typically at least 48 hours
03	Fair Hearing	Hold a formal hearing where the employee can present their side. Allow them to be accompanied by a colleague or union rep.
04	Consider Response	Genuinely consider the employee's response before making a decision
05	Written Decision	Communicate the decision in writing with clear reasons
06	Notice or Pay	Give the required notice period or pay in lieu of notice
07	Final Pay	Pay all outstanding wages, leave pay, and entitlements within 7 days
08	Certificate	Issue a certificate of service stating period of employment and type of work

◆ 8.3 Prohibited Grounds for Termination

Employers CANNOT terminate employment on the following grounds:

- Pregnancy, maternity, or any reason related to childbirth
- HIV/AIDS status — whether tested positive or refused to be tested
- Trade union membership or participation in collective bargaining

- Filing or participating in legal proceedings against the employer
- Race, colour, sex, religion, political opinion, or national extraction
- Disability, unless it makes the employee unable to perform their core duties
- Whistleblowing — reporting illegal activities by the employer or colleagues

PENALTY: Unfair dismissal is one of the most common and costly employment claims in Kenya. An employer found guilty of unfair dismissal may be ordered to reinstate the employee or pay compensation of up to 12 months gross salary.

9. REDUNDANCY OBLIGATIONS

When an employer needs to reduce their workforce due to operational, economic, or technological reasons, they must follow the redundancy process prescribed by the Act.

◆ 9.1 Pre-Redundancy Requirements

- The employer must explore all alternatives to redundancy — redeployment, reduced hours, voluntary redundancy
- The employer must notify the Cabinet Secretary for Labour of the proposed redundancy
- The employer must notify the trade union (if any) of the proposed redundancy and consult with them
- Affected employees must be notified and given opportunity to respond

◆ 9.2 Fair Selection Criteria

- Selection for redundancy must be based on fair, objective, and documented criteria
- Common criteria include: skills and qualifications, performance record, length of service
- Selection criteria must be applied consistently and without discrimination
- 'Last in, first out' (LIFO) is a recognized criterion but must be applied fairly

◆ 9.3 Redundancy Pay Obligations

Entitlement	Details
Severance Pay	Minimum 15 days pay for each completed year of continuous service
Notice Pay	Full notice period pay or pay in lieu of notice
Accrued Leave Pay	Payment for all unused annual leave at the date of redundancy
Certificate of Service	Written certificate of employment history and type of work performed
Outstanding Wages	All wages due must be paid within 7 days of the last working day

10. RECORD KEEPING OBLIGATIONS

The Act and related regulations require employers to maintain comprehensive employment records. These records must be available for inspection by Labour Officers at any time.

Record Type	Content Required	Retention Period
Employment Contracts	Signed copies of all contracts and amendments	Duration of employment + 5 years
Wage Records	Payroll records, payslips, and wage payments	5 years
Leave Records	Annual, sick, maternity, and paternity leave taken	5 years
Disciplinary Records	All disciplinary proceedings, warnings, and outcomes	Duration of employment + 3 years
Accident Register	All workplace accidents, injuries, and near misses	10 years
Training Records	Health and safety training and other mandatory training	5 years
NSSF / NHIF Records	Proof of statutory contribution remittances	7 years

NOTE: Labour Officers have the right to inspect employer premises and records at any time without prior notice. Obstructing a Labour Officer in the exercise of their duties is a criminal offence.

11. STATUTORY CONTRIBUTION OBLIGATIONS

In addition to paying wages, employers are required to make and remit statutory contributions on behalf of their employees.

Contribution	Employer Obligation	Employee Deduction	Remittance Deadline
PAYE	Deduct and remit income tax on behalf of employees	As per KRA tax bands	9th of the following month
NSSF	Employer contributes Ksh 200/month per employee	Ksh 200/month	9th of the following month

NHIF / SHA	Employer must deduct and remit employee contribution	Based on gross salary	9th of the following month
Housing Levy	1.5% of gross salary per employee	1.5% of gross salary	9th of the following month

PENALTY: Failure to deduct, remit, or account for statutory contributions is a criminal offence under the respective legislation. Penalties include fines, interest on arrears and imprisonment for responsible officers.

12. OBLIGATIONS DURING LABOUR INSPECTIONS

Labour Officers appointed under the Act have broad powers of inspection. Employers must:

- Allow Labour Officers free access to all parts of the workplace at any time
- Make employment records available for inspection upon request
- Allow Labour Officers to interview employees privately
- Cooperate fully with any investigation or inquiry
- Implement any improvement notices issued by Labour Officers within the specified timeframe
- Not obstruct, threaten, or intimidate Labour Officers or employees who cooperate with inspections

NOTE: Labour inspections are a routine part of employment law enforcement in Kenya. Employers who maintain proper records and comply with the Act have nothing to fear from inspections.

13. PENALTIES FOR NON-COMPLIANCE

The Act provides for significant penalties for employers who fail to comply with their legal obligations:

Violation	Potential Penalty
Failure to provide written contract	Fine upon conviction
Paying below minimum wage	Criminal prosecution; ordered to pay arrears plus interest
Unlawful wage deductions	Ordered to repay deducted amount plus interest and penalties
Refusing to grant maternity leave	Criminal offence; significant fines and civil liability
Unfair dismissal	Reinstatement or up to 12 months gross salary as compensation
Child labour	Criminal prosecution; imprisonment and/or substantial fines

Forced labour	Criminal prosecution; imprisonment and/or substantial fines
Obstruction of Labour Officer	Criminal prosecution and fines
Failure to remit statutory contributions	Fines, interest on arrears, and potential imprisonment of responsible officers
Sexual harassment (failure to act)	Vicarious liability; financial penalties and reputational damage

14. EMPLOYER COMPLIANCE CHECKLIST

Use this checklist to assess your organization's compliance with the Kenya Employment Act, 2007:

Compliance Item	
01	All employees have signed written contracts of employment
02	All employees are paid at or above the statutory minimum wage
03	All employees receive itemized payslips for every pay period
04	Statutory deductions (PAYE, NSSF, NHIF, Housing Levy) are correctly calculated and remitted on time
05	Annual leave, sick leave, maternity, and paternity leave are granted as required by the Act
06	Overtime is compensated at the correct statutory rates
07	A written sexual harassment policy is in place and communicated to all employees
08	The workplace meets all health and safety requirements and PPE is provided at no cost to employees
09	No employees under 16 years are engaged in work (no children under 18 in hazardous work)
10	All employment records are maintained and retained for the required periods
11	Disciplinary and termination processes follow the due process requirements of the Act
12	Redundancy procedures comply with the Act including proper notification and severance pay
13	Labour Officers are given full cooperation and access during inspections
14	Employees are not victimized for exercising their legal rights or filing complaints

15. USEFUL CONTACTS FOR EMPLOYERS

Institution	Role & Relevance to Employers
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Ministry of Labour	Policy guidance and enforcement of employment laws
Directorate of Employment	Labour inspections, mediation, and employment permits
DOSHS	Directorate of Occupational Safety & Health — workplace safety inspections
KRA	Kenya Revenue Authority — PAYE and statutory tax obligations
NSSF	National Social Security Fund — pension contribution registration and remittance
SHA / NHIF	Social Health Authority — employee health insurance contributions
FKE	Federation of Kenya Employers — employer advisory and representation services
Employment & Labour Court	Resolution of employment disputes between employers and employees

16. DOCUMENT CONTROL

Version	Date	Author	Notes
1.0	May 2026	Milkah Muchunu	Initial version — based on Kenya Employment Act, 2007 (Cap 226)

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